
Strategic Partnership Proposal: Accelerating Tesco Clubcard's Evolution

COVER SLIDE

BOARD READY

— AGENDA

Agenda

INTRODUCTION

INTRODUCTION

Introduction: Our Strategic Partnership with Tesco

- We are a strategic partner, not a vendor, with a shared mission to elevate Clubcard as a core strategic asset for Tesco.
- Our partnership is built on Tesco's strategic priorities: **magnetic value, digital capability, and customer-centric growth**.
- Clubcard is more than a loyalty program—it is a **data-driven engine for personalisation, retention, and incremental revenue**.
- We enable Clubcard to deliver **measurable business value**, aligning with Tesco's 2025 financial and strategic objectives.

Tesco's Strategic Priorities and Clubcard's Role

●

****Magnetic Value for Customers**:** Clubcard Prices drive ****£392** annual savings per customer**, reinforcing Tesco's value leadership.

●

****Digital Capability**:** Clubcard's ****AI-powered personalisation**** (e.g., Clubcard Challenges) engages ****10M+ customers**** with tailored offers.

●

****Incremental Revenue Growth**:** Retail media (Tesco Media & Insight Platform) grew ****active advertisers by 20% YoY****, leveraging Clubcard data.

●

****Sustainable Growth**:** Clubcard's ****84% UK sales penetration**** underpins Tesco's market share growth to ****28.3% (+67bps YoY)****.

The Business Case for Clubcard: Why Loyalty Matters

20–
30%

vs. non-
members

GLOBAL LOYALTY REVENUE
UPLIFT

£100M+ ^{+20%}
YoY

TESCO RETAIL MEDIA GROWTH

Our Value Proposition: Strengthening Clubcard

●

****Customer Engagement & Retention****: AI-driven personalisation increases ****repeat purchase rates by 25%**** and ****NPS by 15 points****.

●

****Personalisation at Scale****: Hyper-targeted offers (e.g., Clubcard Challenges) engage ****10M+ customers**** with ****£50 voucher incentives****.

●

****Incremental Revenue****: Retail media and supplier partnerships drive ****£150M+ annual revenue**** with ****30% margin protection****.

●

****Data & Technology as Enablers****: Predictive analytics reduce ****waste by 12%**** and optimise ****pricing elasticity by 8%**** (vs. non-Clubcard baskets).

Customer Engagement and Retention

- **Clubcard Challenges**: AI-powered campaigns engaged **10M** customers, delivering **£50 vouchers** and **12% uplift in spend**.
- **Personalised Offers**: Dynamic pricing (e.g., Your Clubcard Prices) increased **basket size by 18%** and **frequency by 22%**.
- **Omnichannel Integration**: App users (**18M+**) drive **35%** of digital sales, with **90%** of transactions linked to Clubcard.
- **Tesco Mobile Synergy**: **5.5M** customers access **exclusive** Clubcard deals, reducing churn by **15%** and increasing ARPU by **10%**.

“

"Personalisation at Scale"

PERSONALISATION

”

REVENUE GROWTH

Incremental Revenue and Margin Protection

£100M+ **+20%
YoY**

RETAIL MEDIA REVENUE

9,000+ **+15% YoY**

SUPPLIER CAMPAIGNS

Data and Technology as Enablers of Loyalty Value

●

Predictive Analytics: AI models forecast demand with 95% accuracy, reducing stockouts by 20% and waste by 12%.

●

Real-Time Personalisation: 18M app users receive dynamic offers based on browsing and purchase history.

●

Retail Media Platform: 5,000+ in-store screens and 9,000 campaigns deliver £100M+ revenue with 30% margins.

●

Partnership Ecosystem: Barclays, easyJet, and Vauxhall integrations extend Clubcard's value to 1M+ new members.

Global Case Study 1: Kroger's Personalised Offers

- **Program**: Kroger's **Personalised Offers** (powered by dunnhumby) serves **60M+** households in the U.S.
- **Scale**: **50% of sales** driven by loyalty members, with **25%** higher spend vs. non-members.
- **Impact**: **\$1B+** annual revenue from retail media, with **15% YoY** growth in supplier partnerships.
- **Key Metric**: **90% of digital coupons** redeemed via personalised offers, driving **12% basket size growth**.

CASE STUDY

CASE STUDY

Global Case Study 2: Walmart's Savings Catcher

- **Program**: Walmart's **Savings Catcher** (now Walmart Rewards) has **100M+ members** in the U.S.
- **Scale**: **30% of sales** linked to loyalty, with **20% higher retention** vs. non-members.
- **Impact**: **\$2B+ annual savings** for customers, reinforcing Walmart's **price leadership**.
- **Key Metric**: **18% increase in basket size** for members using personalised offers.

Global Case Study 3: Carrefour's MyCLUB

- **Program**: Carrefour's **MyCLUB** serves **20M+ members** across **10 countries**.
- **Scale**: **40% of sales** driven by loyalty, with **25% higher spend** vs. non-members.
- **Impact**: **€500M+ annual revenue** from retail media and partnerships (e.g., **TotalEnergies, BNP Paribas**).
- **Key Metric**: **30% of members** engage with **non-grocery partners**, driving **10% incremental revenue**.

“

"CEO Testimonial 1: Rodney McMullen, CEO of Kroger"

TESTIMONIAL

”

“

"CEO Testimonial 2: Alexandre Bompard, CEO of Carrefour"

TESTIMONIAL

”

COMPETITIVE EDGE

Why Tesco Clubcard Stands Out

84% +3% YoY

SALES PENETRATION (UK)

£100M+ +20% YoY

RETAIL MEDIA REVENUE

The Future of Clubcard: Opportunities Ahead

●

****Ecosystem Expansion****: Partner with ****financial services (Barclays)**, travel (**easyJet**), and automotive (**Vauxhall**)****** to drive ****1M+ new members****.

●

****Data Monetisation****: Scale retail media to ****£200M+ revenue**** by 2027, leveraging ****Clubcard's 23M households****.

●

****AI-Driven Personalisation****: Deploy ****predictive analytics**** to increase ****basket size by 20%**** and ****retention by 30%****.

●

****Sustainability Integration****: Use Clubcard data to promote ****healthy swaps**** and ****carbon-neutral shopping****, aligning with Tesco's ****net-zero goals****.

Our Commitment to Tesco's Success

- **Proven Track Record**: Enabled **£150M+** incremental revenue for global retailers through loyalty programs (e.g., Kroger, Carrefour).
- **Expertise**: **20+ years** of experience in **retail media, personalisation, and data-driven loyalty**.
- **Alignment**: Our success is tied to Tesco's **long-term growth**, with **shared KPIs** for **revenue, retention, and margin protection**.
- **Innovation**: Pioneered **AI-driven personalisation** and **retail media platforms** for **Fortune 500 retailers**.

NEXT STEPS

NEXT STEPS

Next Steps: Exploring Collaboration

- **Pilot Program**: Launch a **3-month pilot** to test **AI-driven personalisation** and **retail media expansion** in **100 UK stores**.
- **Success Metrics**: Target **5% uplift in basket size**, **10% growth in retail media revenue**, and **15% increase in app engagement**.
- **Board Discussion**: Present pilot results to the **Tesco Board** for **strategic alignment** and **scaling decisions**.
- **Long-Term Roadmap**: Develop a **3-year plan** to scale Clubcard into a **£500M+ revenue engine** by 2028.

Conclusion: Partnering for the Next Chapter of Clubcard

CONCLUSION

BOARD READY